

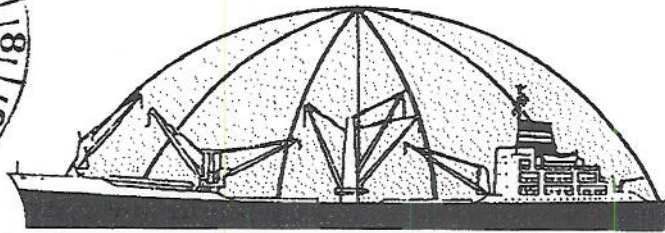
**International
Longshoremen's and
Warehousemen's Union**

LOCAL 23

(253) 383-2468

1306 ALEXANDER AVE. E.

FIFE, WASHINGTON 98424



February 1, 2012

Federal Maritime Commission
800 North Capitol Street NW
Washington, DC 20773-0001

**RE: FMC Docket Number 11-19
Notice of Inquiry
U.S. Inland Containerized Cargo Moving Through Canadian and Mexican Seaports**

Dear Ms. Gregory;

The International Longshore and Warehouse Union, Locals 23 (Tacoma), Local 19 (Seattle) and Local 52 (Marine Clerks) thanks you in advance for accepting our letter after the official comment period ended regarding the Federal Maritime Commission's Notice of Inquiry into U.S. Inland containerized cargo moving through Canadian and Mexican seaports.

Our workforce is the primary workforce for all containerized cargo flowing into the Ports of Tacoma and Seattle destined for local distribution and more importantly, discretionary cargo that flows directly through our ports destined for the Chicago, Ohio Valley and other locations on the East Coast. Somewhere between 55% and 75% of all import containers received in our ports is considered "discretionary cargo". Discretionary Cargo can transit gateways into the heartland of the United States, besides the Pacific Northwest, by way of Northern California, Southern California, Mexico or Canada. The primary factor effecting the gateway decision is cost.

It is our opinion; the Harbor Maintenance Tax levied on containers flowing through our ports gives our neighbors to the north in the Port of Vancouver and the Port of Prince Rupert a significant cost advantage effectively diverting cargo away from our ports. We share the same sentiments; you have already received, from both the Port of Seattle and the Port of Tacoma on this subject.

It is true, Cargo handled by Canadian Longshoremen are members of the ILWU working under a different contract than West Coast Longshoreman. It is also true; ILWU members work in some ports on the West Coast deriving significant benefits from the Harbor Maintenance Tax. For

these reasons we are not asking that the HMT be eliminated, but rather pertinent adjustments made for natural deepwater ports that derive little or no benefit from the tax and the diversionary incentive be eliminated.

The playing field needs to be uniform when it comes to cargo being diverted to Canada as a result of the HMT. Comments, from Seattle and Tacoma, explained in great detail how a fee as little as \$30 per container can have a significant effect on the decision as to the port where US bound cargo is received. Therefore, there is no need for us to reiterate those items at this time.

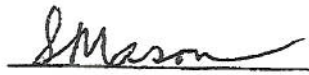
We would support a "Fee" of some type, equal to the HMT, on cargo received in Canada for ultimate distribution in the US. This fee could be used for:

- Desperately needed freight mobility infrastructure in this Country.
- Port infrastructure projects in Ports not requiring use of the HMT.
- Develop a "Northern Freight Corridor" to compete with CN and CP railways.
- Implement a necessary National Freight Policy.

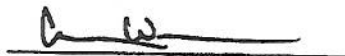
Longshore jobs, created as a result of Container imports, are good family wage jobs supporting American families. Not only does cargo moving across the docks support longshore families, but thousands of other American workers from railroad, truck drivers and warehousemen dependant on a decent family wage created by this commerce. Any loss of imports, as a result of these Canadian advantages, raises the cost of US exports. If equipment used to handle cargo exports are amortized over both imports and exports, it substantially lowers the cost for US exporters.

Finally, the ILWU Locals in Seattle and Tacoma appreciate this opportunity to comment on the important examination of US inland-containerized cargo moving through Canadian and Mexican ports. Please do not hesitate to contact any of the representatives below if you have questions regarding our comments.

Sincerely,



Scott P. Mason, President
ILWU, Local 23



Cameron Williams, President
ILWU, Local 19



Andrea Stevenson, President
ILWU, Local 52

CC: Max Vekich
Lindsey McLaughlin